

PROPERTY MANAGEMENT AND ADMINISTRATION SERVICE AGREEMENT

Asociación de Condominios de Sampaguita Villas A.C. or
"Sampaguita HOA" or "HOA"

Property Management and Administration Service Role and
Responsibilities

Reporting and Communication

The PMA (or the company's designated lead individual for the property) is responsible to the Board of Directors of the Sampaguita HOA (the "Board"). However, all directives from the Board will be communicated to the President, to avoid confusion. Similarly, reporting and communication to the Board from the PMA will be directed to the President for appropriate follow up. The PMA receives both general and specific direction from the Sampaguita HOA President on behalf of the Sampaguita HOA Board.

Scope of Responsibility

The PMA is responsible for managing the Sampaguita HOA property, facilities and community in accordance with the Sampaguita HOA civil corporation, Condominium Regime and/or policies and direction of the Board. The PMA is required to work independently, to be proactive and flexible and to respond promptly to all manner of problems and crises. The PMA manages and serves as a role model for Sampaguita HOA employees and all outside service providers and contractors. The PMA is expected to demonstrate initiative and good judgment while exercising authority in an equitable and balanced manner.

The following provides the framework and parameters under which the PMA must carry out their duties, and details representative and specific responsibilities that the PMA is expected to perform.

1.0 Laws and Regulations

The PMA works in accordance with the Condominium Regime and Bylaws of the Sampaguita HOA revision 2013 or after) the HOA Operations Manual (2005 or after, in accordance with the State Laws of Baja California Sur and Mexican Federal Laws, and/or any further Civic, etc. laws and/or rules and regulations applicable to the position, and any revisions or updates enacted by the Sampaguita HOA. The PMA is also expected to communicate fully with and act as liaison for the Sampaguita HOA with all government agencies as required.

2.0 Operations and Procedures

The PMA is responsible for administering and complying with the Sampaguita HOA Operations Manual (Revision July 2005), which provides guidance and/or procedures for the management of Sampaguita. The PMA in conjunction with the Board keeps the Sampaguita HOA Operations Manual, and/or replacement documentation, updated as required. The PMA should initiate, and with Board approval, implement further necessary concepts, plans, rules and organization etc. aimed at the improved management of the Sampaguita property and community.

2.6 Property Manager and Administrator

2.6.1 Delegation from the Board to the Property Manager and Administrator



The Sampaguita HOA Board may delegate any of its duties, powers or functions to any person or firm, to act as PMA; provided that the Board's duty to provide notice and a hearing prior to the levy of Special Assessments may only be delegated to a committee of Owners. Powers that may not be delegated are listed below:

2.6.2 Excluded Duties

The following powers may not be delegated to the PMA per 2013 By-Law Article VIII:

- a. Levy fines, hold hearings or impose discipline
- b. Make Capital Expenditures
- c. File suit, record a claim of lien of foreclosure for failure to pay Assessments

2.6.3 Job Description of the Property Manager and Administrator

The PMA will review carefully the responsibilities of this role and discuss it with the Sampaguita HOA Board. After all questions are answered satisfactorily the PMA will duly sign off on the position description acknowledging they understand the responsibilities and requirements of the role.

2.6.4 Performance Evaluation

The Board will regularly evaluate the performance of the PMA and positive performance and/or shortcomings will be reviewed. Any areas that require improvement and/or specific action by the PMA will be corrected in a timely manner.

In advance of each Sampaguita HOA Annual General Meeting ("AGM") the Board will evaluate the performance of the PMA since the last review. The review may include, but not be limited to, an Annual PMA Review Questionnaire completed by the Owners, a review of oral and/or written communication received during the year, financial expense management and regular/major maintenance and capital expenditure project completion.



The annual performance evaluation will be discussed with the PMA. The Board shall then make specific recommendations including compensation

adjustment, renewal and/or replacement, etc. to the Owners for consideration, discussion and approval at the AGM.

3.0 Staff, Service Providers and Work

The PMA hires/releases and/or contracts, organizes, supervises, and motivates HOA employees and/or sub-contractors and service providers, and generally provides the services necessary to maintain the Sampaguita property to a standard set out by the Board. Typical service provision includes:

- Pool and hot tub cleaning and maintenance
- Grounds maintenance, landscaping, fumigation and irrigation
- Propane provision
- Water system operation and maintenance
- Front security gates operation and maintenance
- Monthly readings of each Villa's water meter, and running totals reported to accounting for billing on a quarterly basis. A report will also be sent to Owners.

Further, the PMA carries out these duties through the following:

- Payment of salaries, social security (i.e. IMSS), employment bonuses approved by the HOA, and/or contract payments.
- Annual payment of the Beach Concession, and administration/renewal of such as required.
- Preparation and maintenance of a schedule for grounds upkeep and maintenance in consultation with the gardeners.
- Ensuring safety and security of the complex by keeping lighting in the complex fully operational in consultation with and assisted by gardeners.
- The employment and termination of employees according to the Work Rules, i.e. Ley Federal de Trabajo, and Ley del Infonavit or any other pertinent regulations.
- Assignment of work, including expected quality and completion dates/times.



- Periodic review of performance including assignments, staffing needs, quality of work and adherence to schedules.
- Resolution of scheduling conflicts and other work-related problems.
- Administration of appropriate discipline and/or performance behavior modification.
- Mediation of staff conflicts and resolution within HOA and Board policies.
- Proactive reporting of potential maintenance issues or community problems and proposed solutions to the Board and/or to the Owners by way of the AGM PMA report, etc.
- Conducting regular inspection walks around the property with appropriate staff, Board members, and/or Owners to observe and discuss repair or proposed work and/or capital projects and to view personally any deficiencies. Thereafter, the PMA determines priorities, notifies the Board and/or assigns work to staff/contractors to eliminate any problems.
- Making unscheduled day/night attendance and work inspections of all employees and/or sub-contractors from time to time.
- Ensuring that Security has a listing of all necessary persons to contact in case of emergency and reviewing the security logs on a regular basis to advise the Board as required.
- Maintain a detailed schedule and implement periodic maintenance in the complex.
- Working directly with all the individual Villa Property Managers.
- Reports to the Board regularly, or as requested, on the status of all activities.
- Record water meters usage monthly.

4.0 Capital, Special and Planned Maintenance Projects (projects that are subject to special budgets outside the general annual budget)

For large projects, e.g. painting the complex, etc. it is important that the PMA conducts weekly inspections of the schedule and quality of performance and keeps a detailed record of the status. This information shall be updated weekly and available to the Board as a job spreadsheet, or such.

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5.0 Outside Services or Purchase Contracts

The PMA interacts with all vendors and contractors and prepares invitations to bid. The PMA must ensure that there are at least three competitive bids for outside contracts over US \$2500.00. The PMA reviews and adjudicates bids, in cooperation with the Board for amounts over US \$2500.00 and awards the contract with a concise written adjudication report. This report will be used for reference regarding performance of the contract, any matters including disagreements arising from the contract, and for selection of future contractors. The PMA and/or Board may choose to not award contracts to the lowest bidder but should negotiate and select a price appropriate for the work required (i.e. the best value, all factors being reasonably considered.)

6.0 Quality Assurance of Outside Services or Purchase Contracts and Work by Staff

The PMA must ensure any bid accepted includes the prescribed work and materials on a fully adequate basis for the purpose intended. This will often require the input of a qualified owner/Board member or paid experienced professional. Quality Assurance and Control responsibility applies to projects and work undertaken by HOA staff and should involve outside advice when necessary. The PMA must be conscientious to avoid over expenditure (i.e. with regard to Sampaguita HOA annual budgets) concerning repairs, capital, and/or special projects, by use of inappropriate materials, technical procedures, or poor workmanship. Further, the PMA must make sure reasonable performance deadlines are set out and met.

7.0 Safety



The PMA works with the Board to maintain all common areas in a safe condition for occupants, visitors and staff and/or contractors and service providers of the HOA. The PMA must ensure that Sampaguita employees follow safe work practices as required by law, and/or as would be reasonably

expected for the task and situation and should apply safety equipment accordingly.

8.0 Financial Controls, Reporting and Accounting

The PMA manages, day to day, and in a timely manner all HOA banking, accounts payable and payroll matters. The PMA and/or their accountant provides specific and timely reporting that includes reconciling and detailing bank account activities for the prior month and requesting the appropriate cash transfer from the Board/Treasurer for the next month.

The PMA assists the Board in setting and meeting monthly and annual budgets as appropriate. Specifically, the PMA will assist the Board/Treasurer with the generation of an annual Operating and Capital Expense Budget for the next year at the AGM.

The PMA provides warning to the Board of any unbudgeted and/or potential expense overruns and recommends preemptive actions to mitigate or avoid such a result. The PMA works with the Board/Treasurer, their accountant and/or the HOA accountant to maintain complete, accurate and timely accounting and financial records, which must withstand external reviews including Hacienda audits. The PMA organizes and records Facturas in numerical sequence and keeps them in files in a strongbox or other secure facility as approved by the Board. Facturas must be immediately available for review by the Board, accountant and/or Hacienda.

9.0 Security of Records



The PMA maintains at their offices in a safe and separate off-site area and/or alternative location(s), in a manner and form and with a reasonable level of security, all records and documents of the Sampaguita HOA, all as approved by the Board. Sampaguita HOA documents may include operationally valuable information or material items, including check books, spare checks,

bank cards, tokens, computer accounting and other information such as back-up media, copies/originals of all Facturas, and all financial or other records/lists, etc. of the Sampaguita HOA, which could possibly be used, altered, erased, removed or otherwise manipulated to the detriment of all the interests of the Sampaguita HOA. The PMA will work with the Board to transition all critical documents to electronic form as practicable and insure the HOA professional lawyers and/or accountants have copies of such as required by the Board.

10.0 Dealings with Owners and Tenants

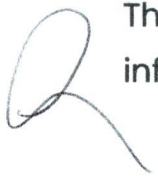
The PMA must provide polite, reliable and efficient services and support to Owners and tenants, both directly and through HOA employees, in accordance with "Management Obligations to Homeowners and Renters" (see Operations Manual Revision July 2005) and/or policies adopted by the Board and HOA.

11.0 Legal

The PMA represents the Sampaguita HOA in legal matters within the scope of the granted power of attorney, and under the direction of the Board.

12.0 Working with the Sampaguita Board

The PMA should advise the Board on relevant or new laws that pertain to the management of the HOA. The PMA assists in preparing and distributing bilingual materials for the AGM, including notification, proxy and registration forms, agenda, minutes and other information. The PMA ensures the AGM Minutes are translated and filed with the appropriate authorities annually. The PMA should notify the Board and arrange and provide contact information for alternate management in their absence.



Required Skills

- Ability to gather information about a problem or situation, analyze the problem and determine and recommend appropriate resolution.
- Ability to respond in a timely manner to a variety of crises and community problems and to resolve such by successfully executing corrective measures. This may include and/or require follow-up inspections and communicate all steps with the Board and/or Owners.
- Ability to be polite, unbiased and appropriately discreet with all Villa occupants.
- Ability to learn and apply regulatory laws and other authoritative material to the Sampaguita community.
- Ability to demonstrate competence in accurate verbal and written translation skills between Spanish and English and English to Spanish in written and verbal communication.
- Ability to convey ideas in a clear and concise manner.

A handwritten signature in blue ink, consisting of a stylized, cursive letter 'A' or 'R'.

Acceptance and Bonding:

Between Asociacion de Condominos de Sampaguita Villas A.C. and Sara Gabriela Alfaro Chavero: I confirm that I have read the Sampaguita HOA Property Management and Administrative Service Role responsibilities, and I understand that I am responsible for performing the duties and responsibilities contained herein for Sampaguita Villas, Bahia de las Palmas 8, San Jose del Cabo, BCS 23405.

Contract Term: May 1, 2026 to April 30, 2027, to be extended by mutual agreement after approval by Owners at the November 2026 AGM.

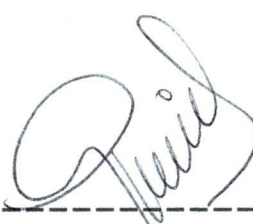
Compensation: Payment will be \$35,600.00 pesos per month from May 1, 2026 through October 2026. The rate will change to a mutually agreed upon MXN peso equivalent of USD \$2500.00 per month effective November 1, 2026 after a performance review by the Board.

Agreed:

----- Date:-----

Wendell Shomion, President

Asociación de Condominios de Sampaguita Villas, A.C.


----- Date: April 1st 2026 -----

Sara Gabriela Alfaro Chavero